



Procurement Policy: Purchases of Goods and Services

This extract covers Sections 4 to 8 of the Group Procurement Policy. It applies to every department buying goods or services with company funds. Where this extract and the full policy differ, the full policy applies.

4. Approval thresholds

The value of a purchase is the total amount payable, including tax, for the whole requirement. Do not split one requirement into smaller purchases to fall under a lower threshold.

Purchase value (including tax)	Quotations required	Approval
Below RM5,000	One written quotation	Head of Department (HOD)
RM5,000 to RM20,000	Two written quotations	HOD
Above RM20,000 up to RM100,000	Three written quotations, a comparison and a justification memo	HOD
Above RM100,000	Three written quotations, a comparison and a justification memo	HOD and General Manager (GM)

4.1 If fewer than the required number of quotations can be obtained, the memo must explain why and list the suppliers approached.

5. What a valid quotation must show

A quotation is valid for evaluation only if it is in writing, on the supplier's letterhead, and shows all of the following:

- the supplier's registered name and company registration number (SSM)
- a quotation number and the date of issue
- a validity period or expiry date. The quotation must still be valid on the date the justification memo is submitted
- a description of each item or service, with quantity, unit price and line amount
- the subtotal, any tax shown as a separate line, and the grand total
- payment terms
- delivery or completion lead time
- warranty terms for goods, or the scope and duration of the service
- the name and signature of an authorised person

5.1 For training services, the quotation must also state whether the programme is HRD Corp claimable and, if it is, the provider's registration number.

5.2 A quotation that has expired must be revalidated in writing by the supplier before it can be used. A verbal or telephone confirmation is not enough.



6. Comparing quotations

- 6.1 Quotations must be compared like-for-like: the same quantity, an equivalent specification, the same warranty or service scope, and comparable delivery terms.
- 6.2 Where quotations are not like-for-like, either ask the supplier for a revised quotation or adjust the comparison using a price the supplier has stated in writing. Show the adjustment in the comparison.
- 6.3 IT equipment must carry a warranty of at least three years. Where a supplier quotes a shorter warranty, include the cost of extending it to three years in the comparison.
- 6.4 Check every total. An arithmetic error must be corrected by the supplier in a revised quotation. Do not correct a supplier's figures yourself.
- 6.5 The lowest price is not automatically selected. Delivery, warranty, after-sales support and previous performance may justify a higher price, provided the memo explains why.

7. Justification memo

Purchases above RM20,000 need a justification memo addressed to the approver. Keep it to one or two pages. The memo must include:

- the purpose of the purchase and the business need
- the budget code and confirmation that budget is available
- the suppliers approached and the quotations received, with quotation numbers and dates
- a comparison summary, with any like-for-like adjustments shown
- the recommended supplier, the total amount (including tax) and the reasons for the recommendation
- any exceptions, risks or issues found (for example an expired quotation or a corrected total) and how they were resolved
- the approval required under Section 4

8. Records

Keep the quotations, the comparison, the memo and the approval together in the department's procurement folder for seven years. Do not store supplier documents in personal folders.

Document control	
Policy owner	Group Procurement, Finance Division
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